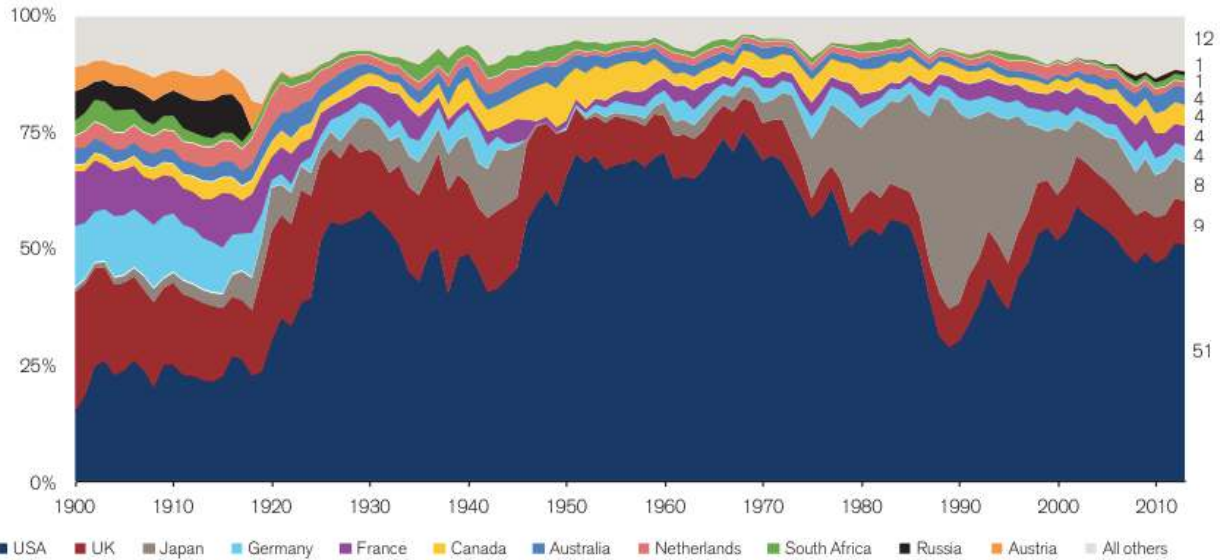


another chart of how market cap weightings have changed over time. Notice the large Japanese bubble expansion in the 1980s and the rapid contraction afterward.

FIGURE 18 – Stock Market Sizes, 1900 to 2012

Country equity capitalization proportions in the 22-country world equity index, 1900–2012

Source: Elroy Dimson, Paul Marsh, and Mike Staunton, DMS database



Source: Elroy Dimson, Paul Marsh, Mike Staunton, *Triumph of the Optimists*, Princeton University Press 2002, Credit Suisse Global Investment Returns Sourcebook

The key question for investors to ask, then, is, “What would our allocation look like if we expanded the 60/40 portfolio to include foreign stocks and bonds? Would that help improve our returns or reduce our risk?”